

18. 9:01 AM CASE NUMBER: C25-02614
CASE NAME: D&A TRANS, INC., VS. BMW OF NORTH AMERICA, LLC,
*HEARING ON MOTION FOR DISCOVERY COMPEL VEHICLE INSPECTION
FILED BY: BMW OF NORTH AMERICA, LLC,
TENTATIVE RULING:

Matter is vacated at the request of the moving party.

Courtroom Clerk's Session

19. 1:30 PM CASE NUMBER: C23-00472
CASE NAME: CARA PINE VS. CHATTERJEE MINA
ISSUE CONFERENCE
FILED BY:
TENTATIVE RULING:

Parties to appear.

Law & Motion
Add On

20. 9:00 AM CASE NUMBER: C25-01431
CASE NAME: PATRICK SHANAHAN VS. ZOE HOLDING COMPANY, INC.
APPLICATION FOR EXTENSION OF PRELIMINARY INJUNCTION / CONT'D FROM 8/14/26 PER TR
FILED BY: SHANAHAN, PATRICK
TENTATIVE RULING:

Before the Court is plaintiff's application to extend the preliminary injunction previously granted. In November of 2025, plaintiff posted a \$1,000 bond (see Code Civ. Proc., § 529) in order to implement an injunction staying an unlawful detainer action (Case No. MS25-0521) against him for six months. The Order granting the injunction permitted plaintiff to "move to renew the injunction" with any additional evidence acquired. Prior to the expiration, plaintiff brought this application to extend the injunction, pending resolution of this case. The application is **denied**, as discussed below.

I. Allegations and Factual Background

Around 2002, plaintiff began working for MGA Healthcare in Arizona. (The documents make reference to MGA Healthcare, MGA Homecare, and MGA Employee Services, but any distinction or lack thereof is not explained, nor are there any alter-ego allegations. For the purposes of this ruling, the Court will refer simply to MGA). Defendant David Zowine was one of the owners of MGA, either directly or indirectly through his ownership of Zoe Holding Co. (Complaint, ¶¶10-11.) Plaintiff alleges

that, at Zowine's request, he moved from Arizona to San Francisco to open the San Francisco office of MGA around 2006 or 2007. (Complaint, ¶12.) Plaintiff alleges Zowine recognized plaintiff as generating substantial profits for Zoe Holding Co., and that plaintiff was a critical employee. (Complaint, ¶13.) Plaintiff claims that in 2011 he, as a "loyal employee" assisted Zowine in "separating" his ownership of Zoe Holding Co. from the other then-owner, Marc Wichansky. (Complaint, ¶14.)

When plaintiff and his family began to consider moving out of San Francisco several years later, Zowine offered to have Zoe Holding Co. buy a house for plaintiff so that he would continue living in the Bay Area and working at the San Francisco office. (Complaint, ¶15.) Plaintiff alleges that Zowine said plaintiff would have the right to buy the house for the amount paid by Zoe Holding Co. when plaintiff had the financial ability to do so (the "House Option Agreement").

Plaintiff contends that he and his wife, in reliance on the House Option Agreement, chose the house in Alamo which is now at the center of this dispute. Plaintiff acknowledges that it was not Zoe Holding Co. that actually took title, however, nor was it MGA. Instead, defendant Zowine purchased the house in the name of his trust. (Complaint, ¶¶15-18.)

Plaintiff attaches a February 2016 cover letter from his real estate agent to the seller's, representing the offer to purchase as being on behalf of plaintiffs, but noting the title would be held by Zowine "for financial/tax reasons." (Complaint, ¶19, Exhibit A.)

Plaintiff's family moved into the house in June 2016. In seeking to enroll their child in school, they needed proof of living at the house and were given a "Residential Use Agreement," as document that "made it appear as if" plaintiff were "renting the house for free." (Declaration of Patrick Shanahan in Support of Application to Extend Preliminary Injunction, ¶15.)

In August 2016, Zowine and his wife, defendant Karina Zowine, filed for bankruptcy in response to a multi-million dollar court judgment in favor of the former co-owner of Zoe Holding Co. In bankruptcy papers, the property at issue in this case was described as "corporate housing." (Complaint, ¶20.) In late 2019, MGA (a subsidiary of Zoe Holding Co.) was in negotiations to be acquired by a third party. Plaintiff alleges that, in connection with this transaction, Zowine promised plaintiff (i) a cash bonus of approximately \$7.5 million to \$8 million and (ii) the property, without any payment by plaintiff (the "House Compensation Agreement"). The promises were, allegedly, for value plaintiff had already created and also to induce plaintiff to continue working for Zoe Holding Co. (Complaint, ¶21.)

Following the sale of MGA, plaintiff was working for Covelo Group, which was another subsidiary of Zoe Holding Co. Plaintiff "continued" to lead the "San Francisco office." (Complaint, ¶23.) Plaintiff alleges that Zowine directed transfer of the Alamo house to plaintiff, but admits that it was not completed because "all parties" would be subject to an "enormous tax bill." (Complaint, ¶24.) Still, plaintiff alleges that no one refuted the House Compensation Agreement and plaintiff continued working as a "key employee." (*Ibid.*)

Plaintiff's complaint alleges he and his family treated the property as their home, "frequently" paid the property taxes, and invested significant capital (over \$100,000) into the home. (Complaint, ¶¶26-27.) The repairs and upgrades plaintiff mentions include changing the septic system to a main sewer line, remodeling the garage, painting the interior of the house, trimming redwood trees, repairs and clean up, replacing lighting fixtures, and remodeling the master bathroom. (*Ibid.*) In further reliance on both alleged agreements, plaintiff had an architect draft remodel plans, which plaintiff

then shared with Zowine, who responded that the plans looked good. (Complaint, ¶128.)

II. Proceedings Herein

According to defendants, plaintiff was served with a 60-day notice to terminate occupancy on March 21, 2025, after his employment was formally ended. On May 21, 2025, plaintiff filed his verified complaint in this matter. On June 5, 2025, he filed a notice of *lis pendens*. Plaintiff sought an injunction to enjoin defendants from moving forward on an Unlawful Detainer Case they commenced on June 17, 2025 (Case No. M825-0251).

Defendants answered and opposed the request for an injunction, arguing plaintiff was unlikely to prevail on the merits of his claim because, among other things, an oral agreement for an interest in real property is unenforceable pursuant to the Statute of Frauds. (Civil Code § 1624.) Further, they argued the only documentary evidence referenced – a letter from plaintiff’s realtor to the seller realtor, conveyed with an offer to purchase the home—did not evidence the oral agreements alleged by plaintiff. While the complaint and answer were both verified, no additional evidence, in the form of declarations or otherwise, was submitted with the moving papers or the opposition in connection with the original injunction.

The Court granted an injunction that would expire on its own terms in six months unless plaintiff moved for renewal. As a condition to issuance of the preliminary injunction, plaintiff promised to keep the property taxes current, obtain and maintain property insurance naming defendants as additional insureds, and pay for maintenance and upkeep. Plaintiff states he has done so. (Declaration of Patrick Shanahan in Support of Application for Extension of Preliminary Injunction, ¶¶48-50.)

Plaintiff now seeks to renew the injunction, a request that is was belatedly opposed by defendants, who argue plaintiff is just seeking to delay the UD action indefinitely. Plaintiff filed a reply on the merits, but argues the Court should decline to consider the opposition. The Court continued the hearing one week in order to consider both the opposition and the reply on their merits.

III. Legal Standard on Preliminary Injunction

“In deciding whether to issue a preliminary injunction, a trial court weighs two interrelated factors: the likelihood the moving party ultimately will prevail on the merits, and the relative interim harm to the parties from the issuance or nonissuance of the injunction.” (*Whyte v. Schlage Lock Co.* (2002) 101 Cal.App.4th 1443, 1449.) Generally, such a ruling rests in the sound discretion of the trial court. (*Id.* at 1450.) A trial court will be found to have abused its discretion only when it has “exceeded the bounds of reason or contravened the uncontradicted evidence.” (*Biosense Webster, Inc. v. Superior Court* (2006) 135 Cal.App.4th 827, 834, citations omitted.)

“An injunction properly issues only where the right to be protected is clear, injury is impending and so immediately likely as only to be avoided by issuance of the injunction.” (*Korean Philadelphia Presbyterian Church v. California Presbytery* (2000) 77 Cal.App.4th 1069, 1084.) The burden is on the requesting party. (*O’Connell v. Super. Ct.* (2006) 141 Cal. App. 4th 1452, 1481 [party seeking injunctive relief bears burden of showing all elements necessary to support issuance of a preliminary injunction].)

IV. Discussion

A. Contracts and the Statute of Frauds

Plaintiff’s claims are founded on the existence of two oral contracts, the House Option Agreement and the House Compensation Agreement, pleaded in the alternative. But an essential

element of any contract is consent. (*Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.4th 793, 811, citing Civ. Code, § 1550; 1 Witkin, Summary of Cal. Law (9th ed. 1987) Contracts, § 6, p. 44.) The consent must be mutual, and consent is not mutual unless the parties all agree upon the same thing in the same sense. (*Weddington Productions, Inc., supra*, 60 Cal.App.4th at 811, citing Civ. Code, §§ 1565, 1580, 1636.)

The Statute of Frauds requires that contracts "for the sale of real property, or of an interest therein" must be in writing. (Civil Code §1624(a)(3).) "The primary purpose of the Statute is evidentiary, to require reliable evidence of the existence and terms of the contract and to prevent enforcement through fraud or perjury of contracts never in fact made." (*Sterling v. Taylor* (2007) 40 Cal.4th 757, 766.) The statute prevents fraud and perjury by requiring more reliable evidence (in the form of a writing signed by the party to be charged) of certain types of agreements in order to enforce them. (*Seaman's Direct Buying Service, Inc. v. Standard Oil Co.* (1984) 36 Cal.3d 752, 764 [overruled on other grounds in *Freeman & Mills, Inc. v. Belcher Oil Co.* (1995) 11 Cal.4th 85, 88]; *Riley v. Bear Creek Planning Committee* (1976) 17 Cal.3d 500, 509.)

B. Plaintiff Does Not Satisfy the Statute of Frauds

A memorandum satisfies the statute of frauds if it identifies the subject of the parties' agreement, shows that they made a contract, and states the essential contract terms with reasonable certainty. (*Sterling v. Taylor* (2007) 40 Cal.4th 757, 766, citations omitted.) Here, plaintiff admits that the contracts he has alleged are oral. To the extent he produces various documents, they do not indicate any specific terms to which the parties could have agreed. On the other hand, the defendants present a contract signed by both sides, the "Residential Use Agreement," which is discussed below.

C. Exceptions

While there are some exceptions to the statute of frauds, including estoppel and part performance, neither has been shown here. The evidence does not support reliance, "unconscionable" injury, or "unjust" enrichment. (*Tenzer v. Superscope, Inc.* (1985) 39 Cal.3d 18, 27 [statute may only be avoided where "necessary to prevent either unconscionable injury or unjust enrichment."].)

Judge Douglas noted plaintiff's ability to conduct discovery in order to convince the Court that his "position has merit." But the evidence obtained and presented here does not sufficiently support plaintiff's position. As noted in the initial ruling, the letter from plaintiff's realtor is capable of both an interpretation in favor of plaintiff's theory, as well as an interpretation favoring defendants.

But the letter from the realtor is not the most recent writing on the subject. The "Residential Use Agreement" was signed by both sides here *after* plaintiff and his family had moved, in March of 2017. "The execution of a contract in writing, whether the law requires it to be written or not, supersedes all the negotiations or stipulations concerning its matter which preceded or accompanied the execution of the instrument. (Civ. Code, § 1625.) Further, the existence of mutual consent is determined by objective rather than subjective criteria. (*Ashirwad, LLC v. Bradbury* (2026) 118 Cal.App.5th 803, 809, citations omitted.)

The "Residential Use Agreement" stated that plaintiff was only *using* the home pursuant to a month-to-month lease, and that his use was contingent upon his employment with "the Company." (Notably, the identity of the "landlord" changed in various drafts, but in the draft signed it appears to refer to MGA, the entity that employed plaintiff according to plaintiff's Complaint.)

The agreement contains an integration clause and a provision explicitly stating that any

amendments must be in writing. (See Singh Decl., Ex. E, at pages ZOWINE 0011-0012 and following unnumbered page [agreement and signature page].) In light of the terms in this agreement, any subjective understanding that plaintiff may have had at the time or in the future, which was contrary to these terms, would be unreasonable and therefore insufficient to avoid the statute of frauds.

As to the alleged House Compensation Agreement, which plaintiff alleges came up with respect to MGA being acquired by a third party in 2019, plaintiff also does not establish reliance or mutual assent to any specific terms. He was already working and living in the Bay Area and the promise was, allegedly, for value plaintiff had “already created,” and to “reward” plaintiff for value created (presumably realized by Zoe Holdings in the acquisition of MGA).

While plaintiff alleges the promise was also to induce him to continue working for Zoe Holding Co., there is no evidence that he was contemplating leaving at this time. To the extent a title transfer was supposed to happen at the time the company was acquired, plaintiff does not explain why he waited years to seek compliance. Plaintiff admits that, even at the time he was terminated in June 2024, he did not ask Zowine to transfer title. (Singh Decl., ¶18.)

Plaintiff states he has taken the deposition of Eric Wong, CFO of Zoe Holding Company, Inc. (plaintiff does not attach any portion of the transcript—just counsel’s characterization of what was said). Counsel represents that Mr. Wong confirmed an understanding that the property was going to be transferred to plaintiff, but no specifics beyond that fact. Plaintiff presents no evidence of Mr. Wong’s corporate authority, or any actions that would ratify any statements made by him.

Defendants, on the other hand, present excerpts from several depositions. (Declaration of Pritpal Singh in Support of Opposition, hereinafter “Singh Decl.,” Ex. A-D.) Collectively, these excerpts show various witness’ belief that there was never any final agreement as to the terms of any property transfer and, to the contrary, that they understood the tax complications to be a continuing obstacle to formalizing any agreement regarding a transfer of the Alamo property.

Plaintiff himself testified that he was aware of tax complications with any transfer, that outside counsel was examining those issues, and that, as far as he knew, the issues were never resolved. (Singh Decl. ¶¶6-7; Ex. A, 63:19-65:19, 72:12-23.) The written discovery, including plaintiff’s responses to requests for admission and his responses to requests for production of documents, support this lack of any formal agreement. (Singh Decl., Ex. G [Responses to Requests for Production of Documents Nos. 1-5, 7-8, generally agreeing to produce all responsive documents showing defendants made promise or agreement to transfer].) The lack of any formal terms make it difficult, if not impossible, to conclude any enforceable agreement ever existed.

While plaintiff’s reply brief highlights the lack of any declaration submitted by David Zowine himself, Zowine verified the answer wherein the existence of any agreement or promise to the property was denied under oath. Further, plaintiff bears the burden to show some probability of prevailing in order to obtain injunctive relief and he could have made efforts to procure deposition testimony from Zowine in the year since the previous hearing on injunctive relief. In this time, he could have taken Zowine’s deposition or obtained responses to written discovery.

D. No Part Performance Based on Insubstantial Investment

While “allegations of substantial investment made by the plaintiff in reliance on the defendant’s promise—whether in time, effort, or money—may permit the trier of fact to consider a claim of estoppel [...], allegations of an insubstantial investment will not.” (*Tukes v. Richard* (2022) 81 Cal.App.5th 1, 26.) Plaintiff’s investments to remodel the property or perform certain maintenance

(which he contends totaled “well over \$100,000”) were insubstantial in comparison to the amount expended by defendants to purchase (\$2.15 million in March of 2016) and keep the property. (See Singh Decl., Ex. E at ZOWINE 0014-ZOWINE 0016 [noting purchase price and date]; Singh Decl., Ex. F at Request for Admission No. 28 [plaintiff admits he does not know who paid property taxes]; Ex. G [Response to Request for Production of Documents No. 16 indicating plaintiff’s agreement to produce any proof of having paid property taxes]; Shanahan Decl. at ¶¶23-29 [itemizing approximate expenditures for converting to septic, remodeling garage and bathroom, fixing a pipe, rodent control, but declining to itemize tree trimming]; Singh Decl., Ex. B at 22:14-24 [wife of plaintiff not recalling at deposition the amount spent on remodeling].) The amount invested by plaintiff is likely also insubstantial in comparison with what plaintiff might have had to pay to purchase the property himself, or pay rent elsewhere.

V. Conclusion

While a court’s analysis of any injunctive relief must include both a balancing of harms as well as probability of prevailing, it may not grant a preliminary injunction, regardless of the balance of interim harm, unless it is reasonably probable that the moving party will prevail on the merits. (*San Francisco Newspaper Printing Co. v. Superior Court* (1985) 170 Cal. App. 3d 438, 442.) Here the latter has not been satisfied. The Court finds an extension of the injunction unwarranted and denies the application.